

BLOCK 3

FREE TRADE VERSUS PROTECTIONISM

Unit 5	Policies of Protectionism
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Unit 6	Instruments of Protectionism
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BLOCK INTRODUCTION

This block presents the comparative analysis of free trade and protectionism. It discussed the various policies and instruments of protectionism and their implications on World economy. This block comprises of two units

Unit 5 **Policies of Protectionism** talks about free trade and protected trade. It elaborates the benefits and costs associated with free trade and protected trade. The unit also presents the economic and non-economic arguments for protectionism. In order to present the complete picture, it also delves into arguments against protectionism. The Unit also contextualizes the theme by discussing the latest Developments in India's Protectionism Policy and their implications on the Indian economy.

Unit 6 **Instruments of Protectionism** extends the theme discussed in previous unit by explaining various tariff and non-tariff barriers to trade. It delves into economic impact of tariff in partial and general equilibrium analysis. Using diagram, it also describes export subsidy and the impact it has on the economy. The unit also discuss quantitative restrictions like import quota and Voluntary export restraints and their impact on the economy along with other non-tariff barriers like exchange controls, import deposit schemes, health and safety standards, customs valuation procedure and local content requirements.

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UNIT 5 POLICIES OF PROTECTIONISM *

Structure

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5.0 OBJECTIVES

After studying this Unit, you should be able to:

- distinguish the distinction between free trade and protected trade;
- identify the benefits and costs associated with free trade and protected trade;
- analyse the protectionism policies in international trade;
- discuss the impact of protectionism policies on the economy; and
- analyse the protectionism policy of India.

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5.1 INTRODUCTION

You have learnt in earlier units about all the classical, neo-classical and modern trade theories. You have also seen that free trade is better than autarky. Although free trade is better than autarky, is free trade better than protected trade, i.e., trade protected by tariffs, import quotas or subsidies? The countries that impose restrictions on trade tend to follow protectionism trade policy. Tariffs and non-tariff measures are used to restrict the trade. A tariff is a price-based policy to restrict trade and others are non-price-based policy (non-tariff barriers). In this unit, you will learn the concepts of free trade and protected trade, the protectionism policies and the arguments for and against protectionism. Emphasis will be laid on the protectionism policy of India.

5.2 FREE TRADE VS PROTECTIONISM

International trade between countries can be either protected trade or free trade. Protectionism is all about restrictions on international trade to support domestic industries. Usually, protectionist policies are implemented to benefit the domestic industry players. Common examples of protectionism include tariffs, quotas, and subsidies. These protectionism tools are used to make foreign goods expensive and promote domestic industries. Free trade is a trade policy where government interventions and restrictions do not impede trade. It is the opposite of trade protectionism. As per many economists, gains from free trade extend beyond the production distortions and elimination of consumption.

5.2.1 Concept of Free Trade

Free trade is a policy where trade barriers in respect of all items among member countries are completely eliminated while, at the same time, each member country follows its own policy in regard to trade with non-member countries. In such a natural environment of international commerce, the nations can focus on their core competitive advantage thereby increasing output and growth of the economy. According to classical economists like Adam Smith (1776) and David Ricardo (1816) and modern economists, the most fundamental doctrine is welfare enhanced with free trade. In the words of Adam Smith, free trade is a commercial policy in which there is no distinction between domestic and foreign goods. With such a policy, no restrictions to trade exist between the countries. While the basic objective of the free trade is improving the welfare of people within the region through creating a larger production base and increased market size for producers, and wider choice to both producers and consumers.

5.2.1.1 Advantages and Disadvantages of Free Trade

The reasons that have prompted several countries to create free trade area includes: safeguards against the advent of monopolies, increased world production and consumption, helps in building better linkages with other countries, higher earnings of the factors of production, and benefits for consumers as well as producers.

The advocates of free trade put forward the following **advantages of free trade**:

1) **Higher Efficiency and Optimum Utilisation of Resources**

Free trade stimulates the managerial efficiency of domestic producers, leading to the optimum utilization of the factors of production. Under free trade, each country imports those products in which the country has a comparative disadvantage and produces those products in which it has a specialization. So, the resources get utilized in the best possible manner.

2) **Reduced Tariff measures leads to Trade Creation**

Trade creation happens when consumption shifts from high-cost to low-cost producers. Under free trade, tariffs, and non-tariff barriers are slashed leading to the creation of trade.

3) **International Specialization**

Free trade leads to international specialization as with the expansion of trade the different countries produce those goods in which they have a comparative advantage. International trade enables countries to reap the benefits of specialization like the countries can obtain various products. Otherwise, in a world of no trade, the countries would have a scarcity of some products. Nepal would have no oil, Britain no tea, and Iceland no coal.

4) **Build better Relations with other Countries**

Countries under free trade share common economic interests and work together towards increasing prosperity and their people's standard of living, which helps build better relations with member countries. As a result of free trade, trade creation, and trade diversification happen which helps in forming better linkages with member countries as well as non-member countries.

5) **Removes Evil effects of Protection**

The evil effects of protectionism such as the growth of monopolies and high prices, etc., can be removed with the help of Free trade.

6) **Imported goods at a lower rate**

From the consumers' side, it is one of the important arguments in favor of free trade. Under Free trade imported goods can be procured at lower prices. Consumer benefits from free trade through cheap rates, and producers benefit from increased earnings due to specialization and optimum utilization of resources.

7) **Enhanced Competition**

Free trade leads to enhanced competition in the market that prevents the growth of monopolies and promotes fair prices in the market. So, it compels the local producers to enhance their efficiency or quit the market.

8) Economic Growth

With the expansion of trade, the countries reap the benefits of a competitive market, increased efficiency, and growth of production. All these benefits of free trade add to the better standard of living, and rising income increases nations' economic growth.

Although free trade has several benefits, it is abandoned by the countries worldwide. The significant **disadvantages of free trade** are as follows:

- 1) The impact of free trade on third countries' export will result in trade diversion. This will mean loss of market to third countries.
- 2) Some goods which are injurious and harmful are not allowed to import freely thereby, trade barriers become inevitable in such a scenario.
- 3) It becomes difficult for established domestic or newly developed industries to compete with efficient foreign industries. So, they need assistance from the government to survive in the competitive environment.
- 4) Companies often cut the corners and ignore environmentally friendly practices. In order to produce at a lower cost and become more efficient, the companies violate environmental legislation which raises pollution-related concerns.

5.2.2 Concept of Protected Trade

After understanding the concept of free trade and the advantages and disadvantages from free trade. The question now arises, what have been the reasons for adopting restricted trade? Let us analyse the concept of protectionism. Generally, Protectionism refers to left-wing politics which support economic populism. On the contrary, right-wing politics support free trade. The countries adopt protectionist policies to protect the employment of domestic industries, promote the growth of MSMEs and serve as a security shield to the nation.

Protectionism is the economic policy that is used to protect domestic industries from foreign competition. Generally, it is a defensive measure that limits the competition from well-established foreign industries. The policy of protectionism works in the short run but it can be proved very destructive in the long run. Protectionism includes government trade policies that limit free trade between particular countries and promote domestic industries. With the help of tariffs, import quotas, and subsidies to local producers, the government protects local industries from foreign competition.

Examples of Protectionism

1) EU Agricultural Protectionism

To increase the farmer's income and protect the local farmers, the EU still uses tariff rates on agricultural products such as animal & dairy products,

fruits & vegetables, coffee, tea, cereals and Preps, oilseeds, fats & oils, sugars and confectionery, Beverages & tobacco, and other agro products.

2) Banana Wars

Tariffs were imposed on Banana imports from Latin America for a long time however, tariffs were reduced to some extent in the 2012 agreement.

3) Tariffs of the Trump Administration

President Donald Trump imposed higher tariffs on refrigerators, washing machines, and clothes from China. While China also retaliated and imposed tariffs on agricultural exports of the US.

4) Argentina Tariffs on Food

Under the Mercosur Common External Tariff, the import duties on agricultural products have increased.

5) Anti-Dumping Tariffs

Anti-Dumping tariffs are justified by the WTO because cheap imports due to dumping make the survival of domestic firms difficult. Therefore, the tariffs may be justified to prevent the adverse effects of dumping.

6) Illegal Subsidies

To support the domestic export industry, another protectionism measure called subsidies is used so that domestic producers can compete in the global market. For example, the US filed a complaint in 2012 that China subsidies excessively to support its car industry. And like European airlines have been given a subsidy by the European government to prevent their airlines from busting.

7) Growth of Red Tape

Red tape is a popular method among countries nowadays to strangle traders instead of breaking WTO rules by putting tariffs. To discourage imports, some countries prefer imposing red tape rather than tariffs which causes a hike in the trading cost of administration. For instance, for discouraging the exports of developing countries, the highly stringent standards set by developed countries.

8) Devaluation as Protectionism

Devaluation of currency is a kind of unfair trade practice adopted by developing countries to make their exports more competitive against foreign competition. For instance, to make Chinese exports highly competitive against the EU and the US producers, China has often resorted to currency devaluation.

5.2.2.1 Benefits and Costs of Protected Trade

Benefits of Protected Trade

Particular governments adopt protectionist policies due to following reasons:

- 1) Protected trade safeguards local jobs and infant industry from foreign competition.
- 2) It protects consumers from unsafe foreign products that could be harmful and injurious to health and thus discourage unethical practices.
- 3) Protectionism policies prevent the adverse effects of dumping practices and preserve culture.
- 4) Protected trade helps lower import bills and improves the country's trade balance.
- 5) Foreign exchange kitty shall be sufficient to meet the necessary obligations. Sometimes, to preserve the foreign exchange resources, protectionism helps in the rational allocation of forex for selected imports.
- 6) Trade barriers tend to boost the economy's GDP due to growth in domestic production.

Costs of Protected Trade

After understanding the benefits of protected trade, let us now discuss the cost of protected trade

- 1) The natural resources do not get utilised properly which encourages inefficient industries.
- 2) By restricting foreign competition, a monopoly market is created, which reduces the welfare of society and increases the loss to consumers.
- 3) It leads to inequality in the distribution of national income,
- 4) The trade barriers restrict the total volume of foreign trade
- 5) Protectionism policies adversely affect international relations and global diplomacy.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) What is free trade policy?

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2) What do you mean by protected trade?

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3) Distinguish between free trade and protected trade.

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4. State whether the following statements are True or False:

- a) The impact of free trade on third countries export will result in trade diversion.
- b) Free trade safeguards against the advent of monopolies in the market.
- c) Protected trade improves the trade balance of the country in long run.
- d) Protectionism refers to left-wing politics which support economic populism.

5.3 PROTECTIONIST POLICIES

Protectionist Policies are government controls or measures such as tariffs, quotas, and subsidies to restrict international trade so that local industries can be shielded or protected from foreign competition. The following policies have been adopted across the world to protect domestic producers:

Tariffs: This is the most popular policy measure by which governments worldwide have been interfering with the movement of goods between countries. Tariffs are taxes or duties levied on imported goods. Tariffs make imported goods more expensive for consumers and businesses. To shield local producers from the competitive effect of globalization, tariffs are imposed by a particular government. The tariff-imposing countries benefit from the tariffs as they will be an extra source of income for importing countries. For example, to raise world oil prices, the Organisation of Petroleum Exporting Countries (OPEC) collects tax on oil exports. It works as an extra income source for OPEC, reducing the oil supply in the global market.

Under the “America First” policy of the Trump administration, Tariffs have been imposed on washing machines, solar panels, aluminium, and new tariffs levied on French and Chinese goods like champagne, cheese, and iPhone. The demand for goods from domestic industries will increase as they would be relatively cheaper than imported goods because of tariffs. Tariffs have a special role in trade policy and negotiations.

Tariff is not the only policy measure to limit trade and shield the domestic import-competing industry. The numerous non-tariff barriers are imposed by government to restrict against imports or exports. Now let us briefly discuss major kinds of non-tariff barriers and their implications on international trade.

Import Quotas – It is a non-tariff barrier. Import quotas refers to imposing limit on the quantity of a product imported without prior consultation or negotiation with exporting countries. It is a unilateral quota that limits the number of imported goods during a specific period. In international trade, import quotas regulate and restrict trade volume between countries. The main objective of Import quotas is to lower imports, raise domestic production and reduce the BOP deficit. For example, China has an import quota on exports of rice from Cambodia (3,00,000 tonnes per year). Recently, on June 2021, Indian Government increased the import quota on the urad and tur from Myanmar until March 2026 (for five fiscal years) to raise the domestic production of pulses. Sometimes, import quota is also enacted by the government over quality and safety concerns and to maintain the limited foreign exchange reserve. However, it may displease foreign countries as a result of which they would retaliate with high tariffs on exports. Another disadvantage of levying import quotas is that it does not generate revenue for the imposing government instead foreign producers benefit from it.

For example, Suppose, a developing country wants to boost the domestic manufacturing of electrical goods so that consumers can purchase them at a lower price. For now, that country imports the majority of electrical goods. If the Government decides to impose a quota on imported electrical goods, then the availability of such goods will get limited and their cost will increase. As a result, domestic manufacturers started expanding into the production of electrical goods.

Subsidies – It refers to direct or indirect financial assistance from governments to companies for making them competitive. The government provides subsidies to domestic producers or exporters to stimulate the expansion of such industries. Cash disbursements, preferential exchange rates, or some other favourable treatments are the examples of subsidies. The critics of subsidies argue that they reduce competition, create unfair market conditions that favour certain industries, and distort the free market. The raging war at WTO nowadays between developed and developing countries is about the high subsidies provided by the latter to agriculture and some other industries such as steel. Subsidies help the local companies to be cost competitive not only with imported products but also with domestic products in overseas market. The government provides various types of export assistance to exporters to make the export products more competitive in the overseas market. For example, the USA provides huge subsidies to the domestic agriculture sector, oil and energy producers, etc., that hurts the exporters of developing world. *The Agreement on Subsidies and Countervailing Measures (Subsidies Agreement) of the WTO provides rules for the use of government subsidies and for the application of remedies to address subsidized trade that has harmful commercial effects.*

Technical Trade Barriers (TBT) – It is a type of non-tariff trade barrier capable of distorting international trade. Technical regulations, standards, and conformity procedures are discriminatory and barriers to trade for health, safety, and product labelling. It makes the procedure of export of goods more complex. Often, TBTs are superior to tariffs and create more obstacles for exporters. Testing and Certification are the technical barriers to trade that make the export procedure more difficult. For instance, a product certified by Canada Standard Association (CSA) may not be valid in other countries. So, the product needs to be recertified which is a time-consuming and expensive process. The WTOs agreement of TBTs aims to eliminate these barriers and promote free trade.

Voluntary Export Restraints (VERs) – When the importing country imposes a certain limitation on the maximum volume of exports for the exporting country, it is called Voluntary Export Restraints (VERs). Since the exporters get to decide the volume of exports to the importing country, it is voluntary.

Besides the non-tariff barriers, there are other restrictions, such as local content and foreign investment performance requirement, anti-dumping regulations, government procurement, customs classification and valuation, which we will discuss in detail under the instruments of protectionism in next chapter.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What do you mean by protectionist policies?

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2) What are tariffs?

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3) Enumerate three protectionism policies.

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